Type MS · Effects of unemployment on the economy, government and confidence

Answer 1 of 11 · Question 3 part e · 9 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

3(a)	**AO1 1 mark** **A** an invisible import	**(1)**

Question Number	Answer	Mark
3(b)	**AO1 1 mark** **D** Value added tax	**(1)**

Question Number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a way Award 1 mark for developing the way Award 1 mark for the response being in context • Through progressive taxation **(1)**, higher income earners pay a larger proportion of their income in tax **(1)**. The government can redistribute this to lower income earners in the country reducing inequality and poverty **(1)** • Through government investment in education **(1)**, human capital can be improved **(1).** This may result in a person being able to get a job in the future reducing inequality and poverty **(1)** Accept any other appropriate response	**(3)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 1 of 11 · Question 3 part e · 9 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The level of consumer confidence will be an important factor that determines the willingness of consumers to spend, borrow and save • Inflation reduces purchasing power for consumers • High rates of inflation such as 25% in Argentina will result in consumers experiencing a fall in living standards as they cannot afford to purchase the same amount of goods and services • High rates of inflation make it difficult for consumers to know what they can afford or how much they need for purchases such as cars • High rates of inflation may discourage consumers from saving as they expect the value to decrease • Consumers are more likely to demand higher wages to keep up with inflation	**(6)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 1 of 11 · Question 3 part e · 9 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Effects of unemployment on the economy, government and confidence

Answer 1 of 11 · Question 3 part e · 9 marks

2019 JUN · Paper 02 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Unemployment occurs when people of working age who are both willing and able to work cannot find a job • High levels of unemployment such as 27.7% will result in lower GDP as a large part of the workforce will be unproductive • There will be a much greater burden on the government to provide benefits to the unemployed • At the same time tax revenues will be lower meaning less is available to spend elsewhere • The government may have to provide more education and training schemes, especially for young people as 60.3% of young people have never had a job • There may be an increase in poverty within the country as unemployed workers have no income apart from benefits from the South African government **AO4** • However, high rates of unemployment may help some firms compete • Some firms within South Africa may find it easier to recruit from a larger pool of workers due to the 27.7% unemployment rate • Some firms may see a reduction in labour costs if there are high levels of unemployment due to fewer wage demands • The overall impact will depend upon the type of unemployment, the duration and the state of the economy in South Africa	**(9)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 1 of 11 · Question 3 part e · 9 marks

2019 JUN · Paper 02 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Effects of unemployment on the economy, government and confidence

Answer 1 of 11 · Question 3 part e · 9 marks

2019 JUN · Paper 02 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark

Type MS · Effects of unemployment on the economy, government and confidence

Answer 2 of 11 · Question 3 part d · 6 marks

2019 JUN · Paper 02 · extract 1 of 5 · find part d in this mark scheme extract

3(a)	**AO1 1 mark** **A** Trade in goods	**(1)**

Question Number	Answer	Mark
3(b)	**AO1 1 mark** **B** Dumping	**(1)**

Question Number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a method of government intervention. Award 1 mark for developing the method. Award 1 mark for the response being in context. • Use of taxation **(1)** A tax on polluting goods such as cars increases the cost to the consumer **(1)** There should be a reduction in car use and less pollution created **(1)** • Use of subsidies **(1)** The government could subsidise the manufacture of solar panels **(1)** This encourages consumers to switch to renewable energy reducing pollution from fossil fuels **(1)** Accept any other appropriate response.	**(3)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 2 of 11 · Question 3 part d · 6 marks

2019 JUN · Paper 02 · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Unemployment represents a loss of output and therefore less GDP for a country • This could reduce standards of living for the population and increase poverty in the long run • The government will receive less tax revenue as there will be fewer workers in employment paying direct and indirect taxes • The government will have to pay out more in unemployment benefits to support the unemployed person whilst they are looking for a job • There is great pressure on the unemployed person as unemployment can cause social problems such as stress and health-related problems	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Effects of unemployment on the economy, government and confidence

Answer 2 of 11 · Question 3 part d · 6 marks

2019 JUN · Paper 02 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Inflation is the rate at which the general level of prices for goods and services is rising within an economy • This may make goods and services too expensive for many people and they cannot afford as much as they used to • The data shows the price of transportation and food has increased by 16.79% and 12.74%, which reduces the purchasing power of consumers if wages do not keep up with inflation • Shoe leather costs may increase as consumers must shop around to find the best deals on food and other products due to the high rates of inflation • Investment is likely to fall as firms lose confidence **AO4** • Inflation may not be a problem if wage increases keep up with inflation • Demand pull inflation may lead to a fall in unemployment as firms try to cope with rising demand • Although high rates of inflation are bad for an economy, low rates of inflation can also have disadvantages to an economy • Figure 3 shows the inflation rate fluctuates over the period of time and much will depend on future fluctuations	**(9)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 2 of 11 · Question 3 part d · 6 marks

2019 JUN · Paper 02 · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Effects of unemployment on the economy, government and confidence

Answer 2 of 11 · Question 3 part d · 6 marks

2019 JUN · Paper 02 · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark

Type MS · Effects of unemployment on the economy, government and confidence

Answer 3 of 11 · Question 2 part e · 3 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 5 · find part e in this mark scheme extract

2(a)	**AO2 1 mark** A an increase in exports and a decrease in imports	**(1)**

Question Number	**Answer**	Mark
2(b)	**AO1 1 mark** C GDP	**(1)**

Question Number	**Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** reason • To meet basic needs • To raise living standards • For ethical reasons Accept any other appropriate response	**(1)**

Question Number	**Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to structures and 1 mark for reference to being needed for the economy The systems/structures such as the transport network **(1)** needed for the operation of an economy **(1)** Accept any other appropriate response	**(2)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 3 of 11 · Question 2 part e · 3 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that direct tax revenues may increase **(1).** By having more workers in employment paying income tax **(1)** results in an increase in tax revenues for the German Government to spend in the economy **(1)** • One impact is that indirect tax revenues may increase **(1).** With more people in employment, demand for goods and services may increase **(1).** Taxes such as VAT for the German Government can then be used for government expenditure **(1)** Accept any other appropriate response	**(3)**

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the reason Award 1 mark for the response being in context • Some foreign-made toys may fail to follow requirements for product safety in the manufacturing process **(1).** This could result in unsafe toys being bought by UK consumers **(1).** The unsafe products may cause serious illness and even possibly death of a child **(1)** • The country of origin may have lower safety standards **(1).** The UK may have higher safety standards compared to other countries **(1).** This may have resulted in toys which are unsafe for UK consumers **(1)** Accept any other appropriate response	**(3)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 3 of 11 · Question 2 part e · 3 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Deregulation is a supply-side policy of making markets more competitive by removing barriers such as regulations • Regulations such as labour laws often create additional costs for firms which makes them less competitive in comparison to firms abroad • Experts have advised the government to reduce regulation in markets such as finance and transport • Removing labour market regulations such as a reduction in the minimum wage may result in the tourism sector reducing its overall labour costs and therefore being able to employ more workers • This may result in a reduction in the 11.6% rates of 15-29 year olds • Removing competition laws in the finance sector may also result in more firms entering the market and therefore employing workers and thereby reducing unemployment in South Korea **AO4** • However, deregulation may just result in firms saving on labour costs but not employing anymore workers • Reducing the minimum wage may result in less people willing and able to work thereby increasing unemployment rather than reducing it • Regulations are designed to protect workers, the environment and consumers so any removal of them may result in negative consequences for South Korea and lower standards of living • There are other supply-side policies such as lower income tax to encourage working which might be more effective in reducing unemployment • The overall effectiveness will depend on a range of economic factors within the South Korea economy not just the level of regulation	**(9)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 3 of 11 · Question 2 part e · 3 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Effects of unemployment on the economy, government and confidence

Answer 3 of 11 · Question 2 part e · 3 marks

2020 NOV · Paper 02 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Effects of unemployment on the economy, government and confidence

Answer 4 of 11 · Question 2 part e · 3 marks

2021 JUN · Paper 02 · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **D** A decrease in exports and an increase in imports A is not correct because an appreciation would result in a decrease in exports and an increase in imports B is not correct because an appreciation would result in a decrease in exports and an increase in imports C is not correct because an appreciation would result in a decrease in exports and an increase in imports	**(1)**

Question Number	Which **one** of the following is likely to result in poverty? Answer	Mark
2(b)	**AO1 1 mark** The only correct answer is: **B** Low GDP per capita A is not correct because this can result in people gaining jobs and therefore income C is not correct because economic agents would retain more of their income D is not correct because more people are in paid employment	**(1)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 4 of 11 · Question 2 part e · 3 marks

2021 JUN · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	State **one** effect on the balance of payments of improved quality of foreign goods. Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct effect • Higher imports • Worsened balance of payments • Lower exports • Increased deficit • Worsened surplus Accept any other appropriate response	**(1)**

Question Number	What is meant by the term free trade? Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to the import/export of goods and 1 mark for reference to not being taxed Goods/services coming into or going out of a country **(1)** which are not controlled/taxed **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** impact of rising unemployment on consumer confidence for a country such as Argentina. Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being context • One impact is that consumer confidence is likely to fall **(1)**. High rates of unemployment of 10.1% may make consumers more cautious **(1)**. This can cause lower levels of consumer spending **(1)** Accept any other appropriate response	**(3)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 4 of 11 · Question 2 part e · 3 marks

2021 JUN · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Explain **one** reason why the reduced cost of communication has helped to increase globalisation. Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is the internet makes it cheaper to communicate with other overseas markets **(1)**. Many small firms are able to use e-commerce marketplaces such as Alibaba **(1)**. This allows firms of all sizes to sell to a wider geographical area/trade globally **(1)** • One reason is that you do not need face to face meetings **(1)**. The internet allows for communication via videoconferencing/online meetings **(1)**. These improvements in communication links mean it is easier for international businesses to interact **(1)** Accept any other appropriate response	**(3)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 4 of 11 · Question 2 part e · 3 marks

2021 JUN · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the use of taxation to protect the environment in a country such as Germany. Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Taxation can be imposed on activities that damage the environment • Taxation is used to ensure consumers and producers pay the full social cost of producing a good or service • Increasing taxation from 7% to 19% would substantially increase the price of meat for consumers which may result in less demand for meat products • This would reduce the amount of greenhouse gas emissions caused by animals • Increased taxation could also raise additional revenue for the German Government • This could be used to finance other pollution reduction schemes or improve animal welfare • Taxation provides a market incentive for firms and consumers to switch to meat alternatives which may not cause as much environmental damage **AO4** • However, increasing taxes on meat may reduce incomes for farmers if demand falls for meat products • Increasing taxes on meat products may reduce the choice for consumers of what food they can afford, particularly low-income families • Demand for meat may be quite inelastic and an increase in tax may do little to reduce demand and therefore only marginally reduce the amount of pollution • There are other methods that might be more effective in protecting the environment, such as subsidies, fines or pollution permits • The German Government should use a combination of methods to protect the environment

Type MS · Effects of unemployment on the economy, government and confidence

Answer 4 of 11 · Question 2 part e · 3 marks

2021 JUN · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Effects of unemployment on the economy, government and confidence

Answer 4 of 11 · Question 2 part e · 3 marks

2021 JUN · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	What is the total amount of revenue raised by indirect taxes? Answer	Mark

Type MS · Effects of unemployment on the economy, government and confidence

Answer 5 of 11 · Question 2 part e · 3 marks

2021 NOV · Paper 02 · extract 1 of 6 · find part e in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **B** Higher exports A is not correct because this is likely to increase inflation C is not correct because this is likely to create employment D is not correct because this is decided by the government	**(1)**

Question Number	**Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **C** Relative poverty A is not correct because this is not having the means to survive B is not correct because this describes the range of incomes in an economy D is not correct because this refers to the disincentive effect of benefit payments	**(1)**

Question Number	**Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct effect • Lower demand for imports • Improved balance of payments • Higher demand for exports • Reduced deficit • Improved surplus Accept any other appropriate responses	**(1)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 5 of 11 · Question 2 part e · 3 marks

2021 NOV · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	**Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to the components of fiscal policy and 1 mark for reference to (aggregate) demand Decisions about government spending, taxation and borrowing **(1)** that affect (aggregate) demand in the economy **(1)** Accept any other appropriate response	**(2)**

Question Number	**Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that business confidence is likely to fall **(1)**. High rates of unemployment of 44% may make businesses more cautious **(1)**. This is because there will be fewer people able to purchase goods/services from firms **(1)** Accept any other appropriate response	**(3)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 5 of 11 · Question 2 part e · 3 marks

2021 NOV · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	**Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that more goods are able to be transported at the same time **(1)**. This reduces the cost of trading between countries **(1)**. This means increased trade which leads to globalisation **(1)** • One reason is that goods can be cheaply transported long distances **(1)** resulting in more firms being able to source products from low-cost countries **(1)**. This increased trade between countries leads to more globalisation **(1)** Accept any other appropriate response	**(3)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 5 of 11 · Question 2 part e · 3 marks

2021 NOV · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	**Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Healthcare provides medicines and medical treatments to increase the overall health of the nation • The external benefit of providing healthcare to an individual often exceeds the private benefit • Free access to healthcare means that illnesses can be treated quickly therefore improving life expectancy across all age groups in England • This can help to reduce inequality and poverty by enabling the population to work and gain income from being fit and healthy • Having a healthier workforce reduces the amount of sickness absence and potentially improves labour productivity • This could result in economic growth and therefore help to reduce poverty and inequality in England • Healthcare also provides many jobs for healthcare workers including nurses, doctors and by building new hospitals **AO4** • However, providing free healthcare cost the tax payer £134bn in 2020 • There is an opportunity cost of spending so much money on healthcare which could be spent on other poverty reduction methods • Having a healthcare system which is free means that there is often an excess demand for healthcare, leading to the NHS being constantly overstretched • This results in shortages of hospital beds and may not reduce poverty and inequality • There are other methods that might be more effective in reducing poverty and inequality, such as education or progressive taxation • There should be a combination of methods used to reduce poverty and inequality in England

Type MS · Effects of unemployment on the economy, government and confidence

Answer 5 of 11 · Question 2 part e · 3 marks

2021 NOV · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Effects of unemployment on the economy, government and confidence

Answer 5 of 11 · Question 2 part e · 3 marks

2021 NOV · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Effects of unemployment on the economy, government and confidence

Answer 6 of 11 · Question 4 part b · 6 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 1 mark for showing the calculation. $\frac{\$2715 - \$2590}{\$2590}$ x 100 **(1)** Award 1 mark for the correct answer. = 4.83% **(1)** Award 2 marks if the percentage change of 4.83% is accurately calculated with or without workings shown Award 1 mark if % is missing i.e. 4.83 with or without calculations shown Do not award marks for formula	**(2)**

Question Number	Analyse the impact of falling unemployment rates on tax revenues for a country such as Vietnam. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Unemployment is when those actively seeking work are unable to find a job • Figure 5 shows that unemployment has steadily fallen from a high of 2.3% in January 2017 to 2.15% in October 2019 • Higher rates of employment in Vietnam could result in higher tax revenue from taxing income from employment • Lower unemployment leads to higher spending which will increase revenue from indirect taxes • This could be used by the government in the economy to improve standards of living • This decline should increase tax revenues because most taxes are linked to income and spending	**(6)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 6 of 11 · Question 4 part b · 6 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Effects of unemployment on the economy, government and confidence

Answer 6 of 11 · Question 4 part b · 6 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Evaluate the effectiveness of increasing taxation on petrol and diesel to protect the environment in a country such as Vietnam. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Taxation can be imposed on activities that damage the environment • Taxation is used to ensure consumers and producers pay the full social cost of producing a good or service • Up to 60,000 people died from air pollution and it reduces GDP by 5% per year • Increasing taxation by 33% on fuel would substantially increase the price of petrol and diesel for consumers which may result in less demand for transportation • This would reduce the amount of air pollution caused by the 3.6 million automobiles and 58 million motorbikes • Increased taxation could also raise additional revenue of $650.2m for the Vietnamese Government • This could be used to finance other pollution reduction schemes or to improve public transport • Taxation provides a market incentive for firms and consumers to switch to transport alternatives such as public transport which may not cause as much environmental damage **AO4** • However, increasing taxes on fuel reduces the income available to spend on other goods and services • Many of these journeys may be essential for getting to work or for delivering goods • Therefore demand for petrol and diesel may be quite inelastic and an increase in tax may do little to reduce demand and therefore only marginally reduce the amount of air pollution • The 33% increase in taxation is likely to result in an increase in inflation • The public transport in Vietnam might be unable to cope with additional passengers • There are other methods that might be more effective in protecting the environment, such as subsidies, fines or pollution permits • Phasing out polluting vehicles could be encouraged by providing subsidies for removing old cars from the road or for the purchase of electric vehicles • The Vietnamese Government should use a combination of methods to protect the environment	**(12)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 6 of 11 · Question 4 part b · 6 marks

2022 JUN · Paper 02 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Effects of unemployment on the economy, government and confidence

Answer 6 of 11 · Question 4 part b · 6 marks

2022 JUN · Paper 02 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

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Type MS · Effects of unemployment on the economy, government and confidence

Answer 7 of 11 · Question 4 part b · 6 marks

2022 JUN · Paper 02 · extract 1 of 5 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 2 marks for calculating the percentage in spending on renewable energy in 2019 $\frac{\$200bn}{\$618bn}$ x 100 **(1)** = 32.36% **(1)** Award 2 marks if the percentage is accurately calculated as 32.36% even if no calculations are shown Award 1 mark if % is missing i.e. 32.36 with or without calculations shown No marks for formula	**(2)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 7 of 11 · Question 4 part b · 6 marks

2022 JUN · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Analyse the impact of rising unemployment rates on business confidence for a country such as India. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Unemployment is when those actively seeking work are unable to find a job • Figure 5 shows that unemployment has steadily risen from a low of 3.4% in July 2017 to 23.5% in April 2020 • This huge increase could reduce business confidence because unemployment is often linked to income and spending • As more people are reliant on unemployment benefits for their income, demand for many goods and services will fall which has a negative effect on firms • Firms require fewer workers to make goods and services which can increase unemployment further • Consumer confidence falls which in turn affects businesses which then become less confident about the future	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Effects of unemployment on the economy, government and confidence

Answer 7 of 11 · Question 4 part b · 6 marks

2022 JUN · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Evaluate the effectiveness of spending on infrastructure to increase total output in an economy such as India. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Infrastructure spending is an example of a supply-side policy • The productive potential of the Indian economy may increase if the quality of its infrastructure is improved • The Indian Government is investing in a wide range of projects including renewable energy, airports, roads and the rail network • This may help to increase geographical mobility as well as improve the distribution of goods/services • In the short term, building or upgrading transport or energy networks can boost (aggregate) demand through increased construction activity and employment • Indian construction, road, cement and steel firms may require additional employees to complete the projects • In the long term, infrastructure investment can boost economic growth by attracting investment and increasing the potential supply capacity of an economy • The Indian economy slowed to a more than six-year low of 4.5% in 2019 so investing in infrastructure projects could help to boost output without the danger of inflation **AO4** • However, it can be argued that spending $1.5 trillion may not increase the total output in the Indian economy • It is unclear how the Indian Government's share of the $1.5 trillion will be funded • The Indian Government may have to borrow the additional finance adding to its fiscal deficit which is already set to increase to 3.7% in 2020 • There is an opportunity cost of these investments with no guarantee that total output will increase in the long term • These are very ambitious plans and many things can change in a 5-year period which could result in less output for the Indian economy • By nature, supply-side policies tend to take a very long time to work and infrastructure investments can be highly complex to manage • The overall impact on output will depend upon whether the approved list of projects can add to (aggregate) demand and (aggregate supply)	

	• The Indian Government should use a range of supply-side and fiscal policies to increase overall output	**(12)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Effects of unemployment on the economy, government and confidence

Answer 7 of 11 · Question 4 part b · 6 marks

2022 JUN · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

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Type MS · Effects of unemployment on the economy, government and confidence

Answer 8 of 11 · Question 3 part c · 3 marks

2023 JAN · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

3(a)	**AO2 1 mark** The only correct answer is: **A** 25% B is not the correct answer because this is 150-120 C is not the correct answer because this is 150-100 D is not the correct answer because this is not the increase in the rate of inflation	**(1)**

Question Number	Which **one** of the following is an impact of globalisation? **Answer**	Mark
3(b)	**AO1 1 mark** The only correct answer is: **B** Closing of traditional industries A is not the correct answer because increased competition reduces prices C is not the correct answer because there should be greater choice D is not the correct answer because there should be reduced cost of communication	**(1)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 8 of 11 · Question 3 part c · 3 marks

2023 JAN · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Explain **one** likely impact on UK tax revenue from rising unemployment rates. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that direct tax revenues may decrease **(1)**. Unemployed workers will have to rely on benefits **(1)** this means they do not pay income tax resulting in less tax revenue **(1)** • One impact is that indirect tax revenues may decrease **(1)**. With fewer people in employment, spending on goods/services may decrease **(1)** resulting in less tax for the UK Government **(1)** Accept any other appropriate response	**(3)**

Question Number	Analyse how business activity can damage the environment in a country such as Chile. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Mining for lithium can cause many different types of pollution • These may include visual, noise, air and water pollution from the operation of the mines • Mining requires large amounts of water to process the lithium • This could result in a reduction of water in lakes so there is less water available for humans, wildlife and agriculture • This can cause damage to the local area from using so much water • Mining can result in large holes being dug which creates a visual impact for people in Chile • Roads might have to be built to transport the lithium from the mines to market, creating additional noise and air pollution for the people of Chile	**(6)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 8 of 11 · Question 3 part c · 3 marks

2023 JAN · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Effects of unemployment on the economy, government and confidence

Answer 8 of 11 · Question 3 part c · 3 marks

2023 JAN · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the likely benefits of lowering taxes to reduce unemployment for a country such as Spain. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Taxes can be either direct or indirect • Lowering direct taxes such as income tax results in workers keeping more of their income from paid employment • Workers can then spend more on goods and services increasing consumption in the Spanish economy particularly in sectors such as tourism and commerce • Lowering indirect taxes such as VAT results in the price of goods and services falling which can lead to an increase in demand • These measures result in firms raising output and having to employ more workers to meet the increase in consumption • These new workers in turn have more to spend creating the incentive for firms to hire more workers • Unemployment should therefore be reduced in the Spanish economy **AO4** • However, taxes are the main source of income for the Spanish Government so reducing taxes could result in a fiscal deficit if this policy is unsuccessful • If consumer confidence is low, cutting taxes may not increase consumer spending as people prefer to save instead • There is no guarantee that people will spend the tax cuts on Spanish produced goods and could purchase imported goods resulting in a negative impact on the current account • The tax cuts could be inflationary if demand outstrips supply • It will all depend on the type of unemployment Spain is suffering from. Tax cuts are likely to be ineffective if Spain has structural and seasonal unemployment • There are currently 4 million unemployed so the effectiveness of reducing taxes may depend upon a range of factors within the Spanish economy	**(9)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 8 of 11 · Question 3 part c · 3 marks

2023 JAN · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Effects of unemployment on the economy, government and confidence

Answer 8 of 11 · Question 3 part c · 3 marks

2023 JAN · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Calculate, to two decimal places, **the rate of unemployment** for Mexico in the third quarter of 2020. You are advised to show your working. **Answer**	Mark

3(a)	**AO2 1 mark** The only correct answer is: **D** 5% A is not correct because this answer is calculated by 1 - 5% B is not correct because this answer is calculated by 1 + 5% C is not correct because this answer is calculated by (50/$1050) x 100	**(1)**

Question Number	Which **one** of the following terms means someone not having enough resources to meet all of their basic needs? Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **C** Absolute poverty A is not correct because this describes the range of incomes in an economy B is not correct because this describes someone having a lower standard of living in comparison to the average person in society D is not correct because this refers to the gap between the rich and the poor	**(1)**

Question Number	Explain one possible reason why the US Government introduced this subsidy. Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to protect domestic firms **(1).** Subsidies allow firms to lower prices **(1)** encouraging consumers to switch to US-manufactured cars with US-made batteries **(1).** • One reason is to increase exports **(1)**. Subsiding cars by $500 can make exports of cars with US-made batteries more competitive **(1)**. This can result in greater export earnings and improve the current account **(1).** Accept any other appropriate response	**(3)**

13

Type MS · Effects of unemployment on the economy, government and confidence

Answer 9 of 11 · Question 3 part e · 9 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the benefits of free trade for domestic firms located within the RCEP. Indicative content	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Free trade is a situation in which goods and services coming into or going out of a country/trade area are not controlled or taxed • The RCEP accounts for nearly 30% of global GDP and has 15 member countries • Firms located within the RCEP would be able to easily access a much wider market for their goods and services in the other member countries thereby increasing sales • Expansion into new countries without any trade barriers could help to reduce risk if demand falls within their own country • Tariffs will be removed for trade between all 15 member countries • Therefore any firms operating within the free trade area will be able to export to the other countries without these additional costs • Trade within the RCEP countries could allow firms to obtain essential inputs at a much lower cost than can be found domestically	**(6)**

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Type MS · Effects of unemployment on the economy, government and confidence

Answer 9 of 11 · Question 3 part e · 9 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

15

Type MS · Effects of unemployment on the economy, government and confidence

Answer 9 of 11 · Question 3 part e · 9 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the impact of rising unemployment rates in the North East of England. Indicative content	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Unemployment occurs when people of working age who are both willing and able to work cannot find a job • Rising levels of unemployment such as 5.3% will result in lower economic growth as a large part of the workforce will be unproductive in the North East of England • There will be a much greater burden on the UK Government to provide benefits to the unemployed in the region • At the same time tax revenues in the North East will be lower meaning less is available to spend elsewhere • The UK Government may have to provide more education and training schemes to help people enter employment • There may be an increase in relative poverty within the region as unemployed workers have no income apart from benefits from the UK Government **AO4** • However, high rates of unemployment may help some firms compete • Some firms within the North East may find it easier to recruit from a larger pool of workers due to the 5.3% unemployment rate • Some firms may see a reduction in labour costs if there are high levels of unemployment due to fewer wage demands • The number of people claiming benefits did in fact fall indicating that perhaps the rise in the unemployment rate was due to voluntary unemployment • Therefore the impact might not as be as severe if this was the case • The overall impact will depend upon the type of unemployment, the duration and the state of the economy in the North East of England	**(9)**

16

Type MS · Effects of unemployment on the economy, government and confidence

Answer 9 of 11 · Question 3 part e · 9 marks

2023 JUN · Paper 02 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

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Type MS · Effects of unemployment on the economy, government and confidence

Answer 9 of 11 · Question 3 part e · 9 marks

2023 JUN · Paper 02 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Calculate, to two decimal places, the rate of unemployment in the Netherlands in December 2021. You are advised to show your working. Answer	Mark

Type MS · Effects of unemployment on the economy, government and confidence

Answer 10 of 11 · Question 3 part e · 9 marks

2023 NOV · Paper 02 · extract 1 of 6 · find part e in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **B** £37.50 A is not correct because this is $75-£50 C is not correct because this is $50/£0.75 D is not correct because this is £0.75 x 100	**(1)**

Question Number	Which **one** of the following is a reason for this provision? **Answer**	Mark
3(b)	**AO1 1 mark** The only correct answer is: **C** To reduce damage to the environment A is not correct because parks increase the number of tourists B is not correct because parks increase property values in the area D is not correct because this increases the space for leisure and recreation	**(1)**

Question Number	Explain **one** reason why an increase in the price of imports may have had a positive impact on South Korea's current account. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is demand may have decreased for imports **(1)** as consumers switch to cheaper domestically produced goods rather than imports **(1).** This means less money is flowing out of the country resulting in a positive impact on the current account **(1)** Accept any other appropriate response	**(3)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 10 of 11 · Question 3 part e · 9 marks

2023 NOV · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse how monetary policy can help to reduce inflation in a country such as the US. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Monetary policy is the use of interest rates and money supply to control (aggregate) demand in the economy • Interest rates are the highest they have been for 15 years and are predicted to increase to 5.25% by the end of 2023 • Higher interest rates will increase the cost of borrowing • This will discourage investment and expenditure by firms and consumers in the US economy • There could be a greater incentive to save to take advantage of higher interest rates, therefore reducing consumer spending • This will lower overall aggregate demand and inflationary pressures in the US economy • Increased interest rates may boost the US currency's value, which may lead to lower import costs and consequently a decline in inflation	**(6)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 10 of 11 · Question 3 part e · 9 marks

2023 NOV · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Effects of unemployment on the economy, government and confidence

Answer 10 of 11 · Question 3 part e · 9 marks

2023 NOV · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits of low unemployment rates on tax revenues for a country such as Australia. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Unemployment rate is a measure of the percentage of the total labour force that is currently unemployed and actively seeking employment • Figure 4 shows that the rate of unemployment has steadily fallen from a high of 4.2% in January to 3.4% in November 2022 • If Australia's employment increases by 64,000, tax revenue from newly employed workers could increase • More indirect taxes such as VAT will be collected because additional people will be spending money in the economy • This could be used by the Australian Government in the economy to improve standards of living • Higher tax revenues will make it easier for the Australian Government to finance spending on other projects such as public services • The Australian Government has more flexibility to lower taxes elsewhere if more people are employed and tax revenue from income rises **AO4** • However, low unemployment might not result in higher tax revenue for the Australian Government • If many of the workers are employed in low-wage jobs, they may not contribute as much in tax revenue • If there is a significant informal economy or tax evasion, tax revenue might be lost • If tax rates are too low or there are too many tax exemptions, tax revenue may not increase as much as expected • The Australian economy could see an increase in cost-push inflation as firms compete for the same workers by offering higher wages due to labour /lack of immigration • Inflation could reduce tax revenues by reducing consumer spending • The overall impact will depend on how long unemployment remains low	**(9)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 10 of 11 · Question 3 part e · 9 marks

2023 NOV · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Type MS · Effects of unemployment on the economy, government and confidence

Answer 10 of 11 · Question 3 part e · 9 marks

2023 NOV · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Calculate, to two decimal places, the **percentage** of people living in relative poverty in Kazakhstan in 2022. You are advised to show your working. **Answer**	Mark

2(a)	**AO11 mark** The only correct answer is: **D** A group of countries that reduce trade barriers between themselves A is not correct because a trade bloc does not require member countries to use the same currency B is not correct because a trade bloc does not necessitate that member countries have the same tax rates C is not correct because often countries have different languages	**(1)**

Question Number	Which **one** of the following best describes the role of currency speculators? **Answer**	**Mark**
2(b)	**AO11 marks** The only correct answer is: **B** They trade currencies to profit from changes in exchange rates A is not correct because they invest in currencies and not bonds C is not correct because they cannot lend money to countries D is not correct because only governments can fix currencies	**(1)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 11 of 11 · Question 2 part e · 3 marks

2025 NOV · Paper 02 · extract 2 of 7 · find part e in this mark scheme extract

Question Number	State **one** possible role of the World Trade Organization (WTO). **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible role • Trade negotiations • Settling trade disputes • Building membership of the WTO • Monitoring WTO rules are being followed • Persuading countries to reduce tariffs/quotas/trade barriers • To promote free trade Accept any other appropriate responses	**(1)**

Question Number	What is meant by the term economic growth? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A rise in the total value of output/GDP **(1)** over a period of time **(1)** **OR** An increase in the level of output **(1)** by a nation **(1)** Accept any other appropriate response	**(2)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 11 of 11 · Question 2 part e · 3 marks

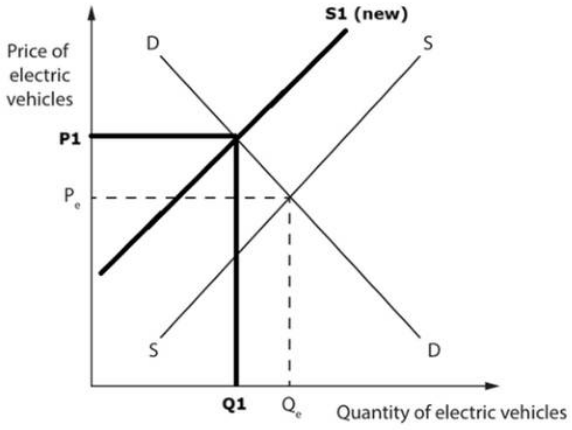
2025 NOV · Paper 02 · extract 3 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** impact of rising unemployment on government spending on benefits in a country such as Sweden. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is an increase in government spending on benefit payments. **(1)** The government will need to allocate more funds to unemployment benefits **(1)** to support the increasing number of those without work/no income **(1)** Accept any other appropriate response	**(3)**

Type MS · Effects of unemployment on the economy, government and confidence

Answer 11 of 11 · Question 2 part e · 3 marks

2025 NOV · Paper 02 · extract 4 of 7 · find part e in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the new tariff on the equilibrium price and quantity of electric vehicles imported into the EU from China. Label the new curve, the new equilibrium price and new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for a left shift of supply, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	(3)

Type MS · Effects of unemployment on the economy, government and confidence

Answer 11 of 11 · Question 2 part e · 3 marks

2025 NOV · Paper 02 · extract 5 of 7 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess how effective monetary policy is likely to be in increasing output for a country such as New Zealand. **Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The central bank of New Zealand's recent reduction in the base rate to 5.25% could encourage businesses to borrow and invest, potentially boosting output in a difficult economic environment • The reduction makes loans more affordable for households, which can directly lead to increased spending and sales for firms • Lower interest rates may stimulate consumer spending, which has been weak, thereby increasing demand for goods and services and driving up production • Expansionary monetary policy can weaken the New Zealand currency, making exports more competitive and increasing output in export-driven industries • Monetary policy adjustments can be quickly implemented, providing a timely boost to economic output which is struggling with rising unemployment and low consumer confidence **AO4** • However, given the ongoing economic difficulties, including weak consumer confidence, the reduction in the base rate from 5.5% to 5.25% may not be sufficient to significantly boost spending and output • The small size of the rate cut may have only a minimal impact on boosting economic activity and increasing output • Firms in New Zealand may remain hesitant to invest despite the rate cut due to uncertainties like rising unemployment and reduced investment activity • Expansionary monetary policy can lead to inflationary pressures, which might offset gains in output by reducing purchasing power • Monetary policy may be less effective if the economy is already at or near full capacity, leading to limited increases in output

Type MS · Effects of unemployment on the economy, government and confidence

Answer 11 of 11 · Question 2 part e · 3 marks

2025 NOV · Paper 02 · extract 6 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Effects of unemployment on the economy, government and confidence

Answer 11 of 11 · Question 2 part e · 3 marks

2025 NOV · Paper 02 · extract 7 of 7 · find part e in this mark scheme extract

Question Number	In times of inflation, which **one** of the following is a shoe leather cost when purchasing a mobile phone online? **Answer**	Mark